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CLIMATE TECH

US is propping up climate tech VC deals—for now

By [Michael Bodley](#)

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Venture capital investments in climate tech startups are still sinking—and growing uncertainty in the crucial North American market is throwing a new wrench into the sector.

Worldwide, [climate tech VC investment decreased](#) for the third consecutive year in 2024 to \$37.8 billion, according to [a new PitchBook research report](#). That amount was down 37.6% from the sector's 2021 peak, and 21.7% from 2023.

Zooming in, North American climate tech deal value dipped 7.5% from \$17.3 billion in 2023 to \$16 billion last year.

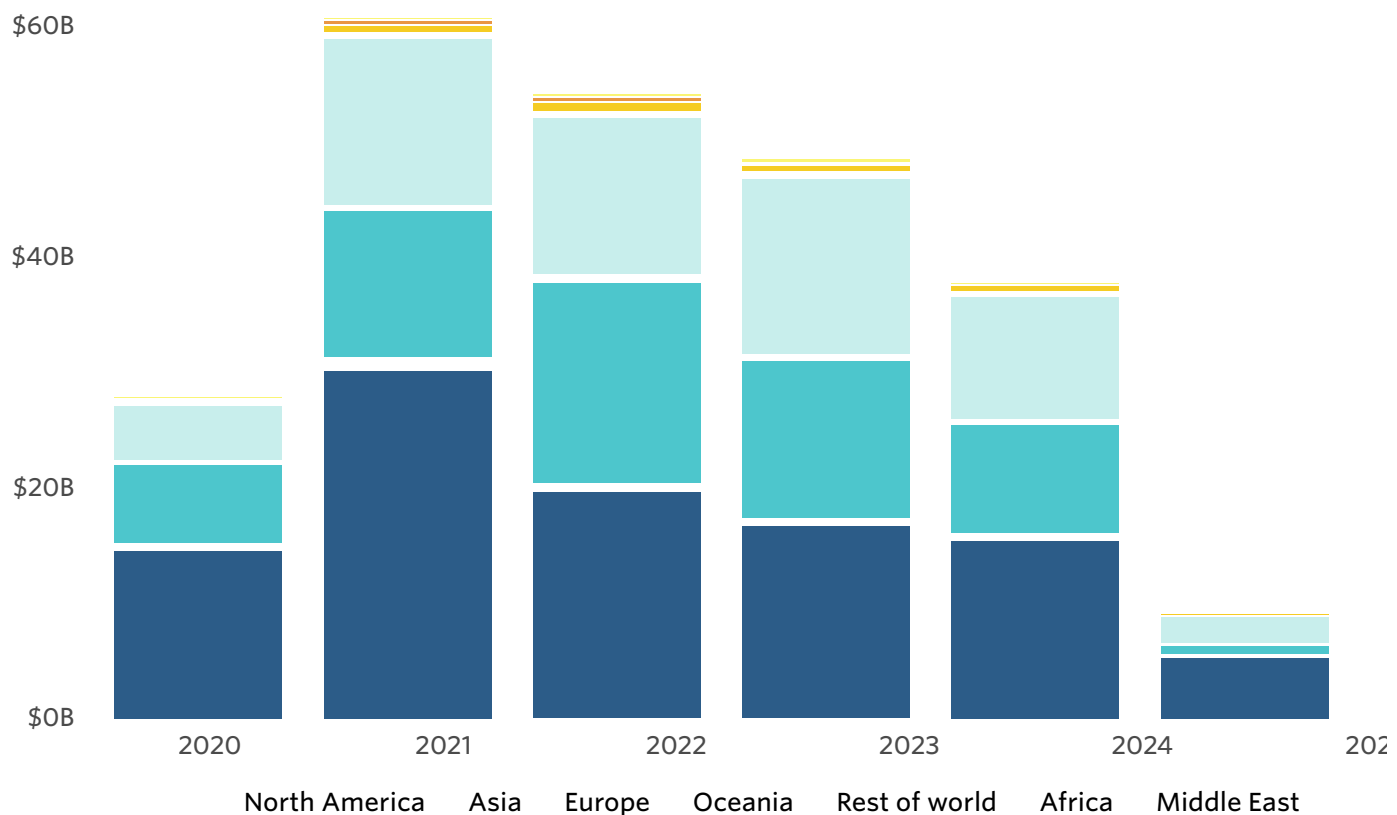
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US driving lion's share of climate tech VC deal value



Source: [Q2 2025 PitchBook Analyst Note: VC Investment in Climate Tech](#)

Geography: Global

As of March 31, 2025



North America investment has propped up the sector for several years. The concern is that a prolonged pause in dealmaking could spread beyond North America.

Many venture firms active in US climate tech have adopted a “wait and see approach” to investing and are holding onto dry powder, according to PitchBook senior analyst John MacDonagh. That’s largely due to the Trump administration’s evolving stance on energy policy and [continued supply chain shocks from tariffs](#), he added.

“There’s still just a lot of uncertainty, and to be honest, I expect that to at least somewhat continue for a while,” said MacDonagh. “The overall plans for the administration are focused elsewhere at the moment.”

There have been recent outliers, including [sizable nuclear fusion deals](#) and steady investor interest in emerging alternative energy sources like hydrogen. Pacific Fusion

raised a \$900 million Series A at an undisclosed valuation in March, led by [General Catalyst](#). An [AI-driven rise in demand for power](#) is boosting entrepreneurs' and investors' interest in the sector.

[Pacific Fusion](#)'s deal helped stabilize deal value in Q1, according to the report. The quarter saw deal value at \$9 billion, relatively in line with recent quarters. But deal count dropped by 13.6%, reflecting concentrated movement toward larger deals.

"Things that are expanding our energy utilization, energy efficiency, those are going to win and get support," said Vic Pascucci, managing partner of [Energy Capital Ventures](#). "The general climate decarbonization [deals] are not getting much support...it's a difficult spot if you're just focused on climate, but if you're focused on energy expansion, things are going well."

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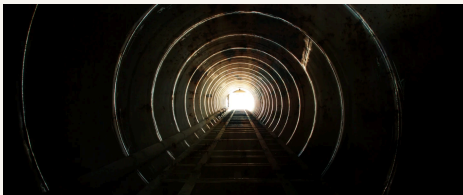
About [Michael Bodley](#)

Michael Bodley is a senior venture capital reporter at PitchBook News, covering top fund managers and developments affecting limited partners. Based in New York, Michael previously led TheStreet.com's crypto coverage. He also reported for Hedge Fund Alert after breaking into journalism at the San Francisco Chronicle. Originally from Baltimore, Michael graduated from Elon University.

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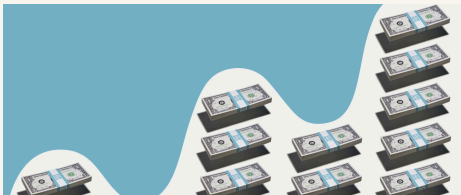
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